COVERAGE ANALYSIS

April 28, 2026 | step270POST v1.1.4

DOCUMENT OVERVIEW

Single-document coverage analysis -- no reference template

Parties: MERIDIAN COMMERCIAL PROPERTIES LLC (Landlord) / WELLNESS PLUS PHARMACY LLC (Tenant)

Property: 4500 Commerce Boulevard, Fairfield, State of Columbia

Lease Type: Retail / Shopping Center

Term: 5 years (Commencement Date (as specified in Section 4.1) -- 5 years after the Commencement Date)

Renewal: One (1) additional period of five (5) years

Rent: $19,600.00

Escalation: 3% annually

Security: Three (3) months' Base Rent

CAM/OpEx: Triple net lease; Tenant pays Proportionate Share of CAM Charges

Permitted Use: Retail business for the operation of a licensed pharmacy and the sale of health and wellness products

Key Terms:

- 5-year initial term with one 5-year renewal option.
- Base rent of $19,600.00/month with 3% annual compounding escalation.
- Triple net lease structure where tenant pays proportionate share of CAM charges.
- Tenant granted exclusive right to operate a pharmacy and health/wellness business in the center.
- Early termination right after 2nd Lease Year with 180 days' notice and 6 months' rent fee.

RUN SYNOPSIS

5 require attention, 6 worth reviewing, 7 covered (across 18 issue areas analyzed)

PROVISION CHECKLIST

✕ **Needs Attention:** LP-07 Common Area Maintenance (CAM), LP-09 Subletting & Assignment, LP-11 Default & Remedies, LP-13 Indemnification & Liability, LP-14 Force Majeure

■ **Worth Reviewing:** LP-02 Rent Escalation, LP-03 Lease Term & Renewal, LP-08 Insurance Requirements, LP-10 Alterations & Improvements, LP-12 Early Termination, LP-17 Dispute Resolution

✓ **Covered:** LP-01 Rent & Payment Terms, LP-04 Security Deposit, LP-05 Permitted Use, LP-06 Maintenance & Repairs, LP-15 Signage Rights, LP-16 Parking, LP-18 Holdover Provisions

COVERAGE & GAPS

The following provisions were present but incomplete, unfavorable, or missing entirely.

[!] **LP-07 LP-07** — UNFAVORABLE TERMS

Missing: excluded expense categories

Tenant bears uncapped and potentially expanding CAM charges because the share calculation, included cost categories, and annual increases are not capped or tightly defined. Tenant has no ability to audit or challenge the pass-throughs, so billing errors, reclassifications, or cost shifting by Landlord become Tenant's risk and can materially increase occupancy costs.

[!] **LP-09 LP-09** — INCOMPLETE

Missing: recapture right (landlord can terminate and lease directly), assignment in connection with sale of business

Landlord can recapture the space if Tenant seeks to sublet or assign, letting Landlord terminate Tenant's lease and lease directly while Tenant loses the deal and any expected transfer value. Tenant also lacks clear rights to assign in connection with a sale of its business, which can block or delay an exit transaction or force Tenant to keep paying rent after selling.

[!] **LP-11 LP-11** — UNFAVORABLE TERMS

Missing: tenant's right to cure third-party defaults

Tenant can be declared in default quickly and without prior notice, giving Landlord leverage to accelerate remedies (including termination and eviction) before Tenant has a realistic chance to fix payment or operational issues. Tenant bears the cost and disruption of an unusually short non-monetary cure period, increasing the risk of losing the space over minor or administrative breaches.

[!] **LP-13 LP-13** — UNFAVORABLE TERMS

Missing: cap on liability (if any)

Tenant bears broad indemnity exposure while getting only a narrow indemnity back from Landlord (limited to gross negligence or willful misconduct), so routine landlord-side negligence and related third-party claims can still land on Tenant. Landlord is protected far more than Tenant, leaving Tenant to absorb defense costs and losses with limited ability to shift risk back.

[!] **LP-14 LP-14** — UNFAVORABLE TERMS

Missing: partial rent abatement or adjustment for operational impairment

Tenant has limited force majeure relief and no meaningful rent protection unless the space becomes wholly untenantable, so Tenant can be stuck paying full rent even when operations are materially impaired (e.g., utility loss, restricted access, or regulatory shutdown). Tenant also bears risk that narrow/unclear event definitions and excused-obligation scope leave key performance duties unexcused while Landlord's obligations are not equally affected.

[~] **LP-02 LP-02** — INCOMPLETE

Missing: escalation cap or ceiling, calculation methodology

No rent escalation mechanism; landlord bears full inflation risk or tenant bears uncapped exposure

[~] **LP-03 LP-03** — INCOMPLETE

Missing: rent at renewal (formula or fair market value mechanism)

Term and renewal rights unclear; tenant may lose right to remain in premises or face holdover penalties

[~] **LP-08 LP-08** — INCOMPLETE

Missing: waiver of subrogation

Insurance obligations undefined; landlord has no protection against tenant-caused losses and no subrogation waiver

[~] **LP-10 LP-10** — INCOMPLETE

Missing: landlord contribution to tenant improvements (if any)

Alteration rights undefined; tenant faces removal obligation uncertainty and potential forfeiture of improvement investment

[~] **LP-12 LP-12** — INCOMPLETE

Missing: unamortized tenant improvement cost recovery, co-tenancy termination trigger (if applicable)

No early exit right; tenant bears full term obligation regardless of operational changes

[~] **LP-17 LP-17** — INCOMPLETE

Missing: time limit for bringing claims

Dispute framework absent; attorney fee allocation and venue undefined, creating uncertainty in enforcement cost

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RUN DETAILS

Models Used:
Extraction: Gemini 3.1 Pro (Google)

Processing: 6 API calls total, 2.3 minutes
Pipeline: CAM v2.5.3 -- Constrained Assertion Method
Analysis mode: Analyze (coverage & gaps)